

Internal Risk Grading and Pricing Grid

ASHVA CAPITAL CREDIT POLICY

Section 1: Risk Grading Methodology

1.1. Purpose: This section outlines the risk grading methodology used by Ashva Capital to evaluate the creditworthiness of borrowers.

1.2. Scope: This methodology applies to all loan products offered by Ashva Capital.

1.3. Risk Grading: Ashva Capital uses a eight-point risk grading system, ranging from A1 (low risk) to D2 (high risk).

Risk Grades and Quantitative Criteria

Risk Grade	Quantitative Criteria
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A1	- Credit Score: 760 and above - Loan-to-Value (LTV): 60% or less - Annual Income: \$120,000 or above
A2	- Credit Score: 700-759 - LTV: 65-69.9% - Annual Income: \$80,000-\$119,999
B1	- Credit Score: 650-699 - LTV: 70-74.9% - Annual Income: \$60,000-\$79,999
B2	- Credit Score: 600-649 - LTV: 75-79.9% - Annual Income: \$50,000-\$59,999
C1	- Credit Score: 500-599 - LTV: 80-84.9% - Annual Income: \$40,000-\$49,999
C2	- Credit Score: 400-499 - LTV: 85-89.9% - Annual Income: \$30,000-\$39,999
D1	- Credit Score: 300-399 - LTV: 90-94.9% - Annual Income: \$20,000-\$29,999
D2	- Credit Score: 299 and below - LTV: 95% or above - Annual Income: \$20,000 or below

Indicative Interest Rate Spread and Tenor

Risk Grade	Indicative Interest Rate Spread	Maximum Tenor (Months)	Collateral Coverage Requirement
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A1	-0.25% to -0.50%	60 months	100% minimum

A2	-0.50% to -0.75%	48 months	90% minimum
B1	-0.75% to -1.00%	36 months	80% minimum
B2	-1.00% to -1.25%	36 months	70% minimum
C1	-1.25% to -1.50%	24 months	60% minimum
C2	-1.50% to -1.75%	18 months	50% minimum
D1	-1.75% to -2.00%	12 months	40% minimum
D2	-2.00% or more	9 months	30% minimum

Auto-Approval Rule

1.4. Loans with risk grades C2 and below are not eligible for auto-approval, regardless of loan size.

1.5. All other risk grades may be auto-approved subject to meeting the minimum loan amount requirements as outlined in Section 3 of this policy.

Note: These guidelines are subject to review and revision as needed to ensure compliance with regulatory requirements and Ashva Capital's risk management objectives.